

Q3 2026 Databricks: Reading the \$188 Billion Term Sheet

A signed bid 40% above the last mark, and the accelerating engine underneath it

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Valuation per AIBQ point across the frontier cohort, with Databricks shown at both its completed \$134 billion mark and the announced \$188 billion term sheet.

Databricks signs at \$188 billion, and the quality math survives the re-rate

Databricks signed a Coatue-led term sheet at \$188 billion on July 17, 40% above February's completed mark, with the close expected later this summer. The revenue ladder under the bid is still accelerating at \$7 billion scale. Even at the higher price, the company remains the cohort's cheapest asset per unit of business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)

Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **Databricks signed a term sheet at \$188 billion on July 17, 40% above its last completed mark.** Coatue leads, with new and existing investors behind it, and press reports put the size near \$3 billion.^{1,3} The close is expected later this summer; until funds settle, the \$134 billion February mark anchors the base case.
- **The same \$6.9 billion run-rate now carries two prices: 19.4x at the completed mark, 27.2x at the announced one.** No operating number moved with the announcement, so the September print decides which multiple the buyer actually paid.⁷
- **Revenue is accelerating through \$7 billion: four straight prints, +50% to +80% YoY.** The counterweight is gross margin at 74%, guided lower, four points above the 70% floor that forces a quality re-score no matter what the round does.⁷
- **At either mark, Databricks is the cheapest quality-adjusted asset in the cohort: \$15.2 billion per point of business quality completed, about \$21.3 billion announced (est.).** The nearest peer pays about \$118 billion per point. We assess a close by October 31 as very likely (80-95%). Confidence: moderate; the size and terms are press-sourced.³

The term sheet: signed at \$188 billion, unclosed

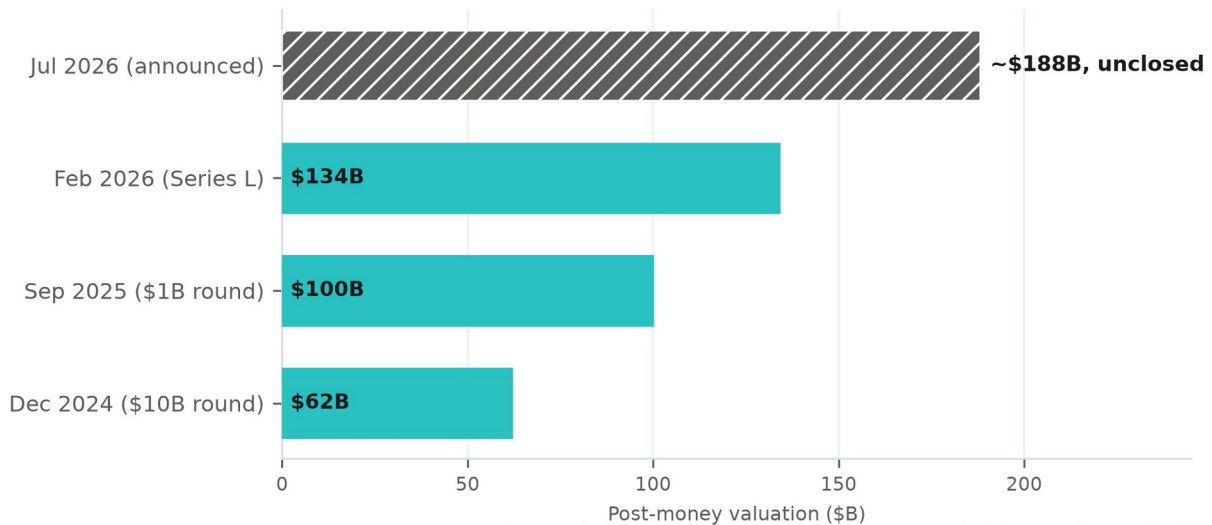
Databricks signed a term sheet on July 17 for a strategic round at \$188 billion post-money, led by Coatue with new and existing investors behind it.¹ The company has not said how much it is raising; press reports put the figure near \$3 billion.³ The money is not in hand yet, and the company says so itself, with the close expected later this summer.² PitchBook carries the round as announced and in progress, the thirteenth.⁵

The last completed mark was \$134 billion, set in February.⁶ The new bid sits 40% above it, and \$13 billion above the top of the \$165 billion to \$175 billion range the press floated in June. Rumored rounds usually shrink on contact with a term sheet; this one grew, which tells you where the demand sat. Against the cohort the step is almost modest: the same five months took the nearest frontier peer from \$380 billion to \$965 billion.⁴

The size is the tell. Three billion dollars is less than half of February's \$7.0 billion round, raised by a business that already funds itself.⁶ A company that raises small at a 40% markup is not plugging a hole; it is marking itself up and stacking dry powder on its own schedule, with the stated use pointed at AI product: Genie, Unity AI Gateway, Lakebase.¹ The house rule holds regardless. An unclosed round never anchors the base case, so \$134 billion stays the working mark until funds settle.

Three completed marks and a signed bid

Databricks post-money valuation (\$B)



Post-money marks, December 2024 to July 2026. Completed marks solid; the July 17, 2026 term sheet hatched: announced at \$188B, unclosed, not adopted until funds settle.

The engine under the bid: four accelerating prints

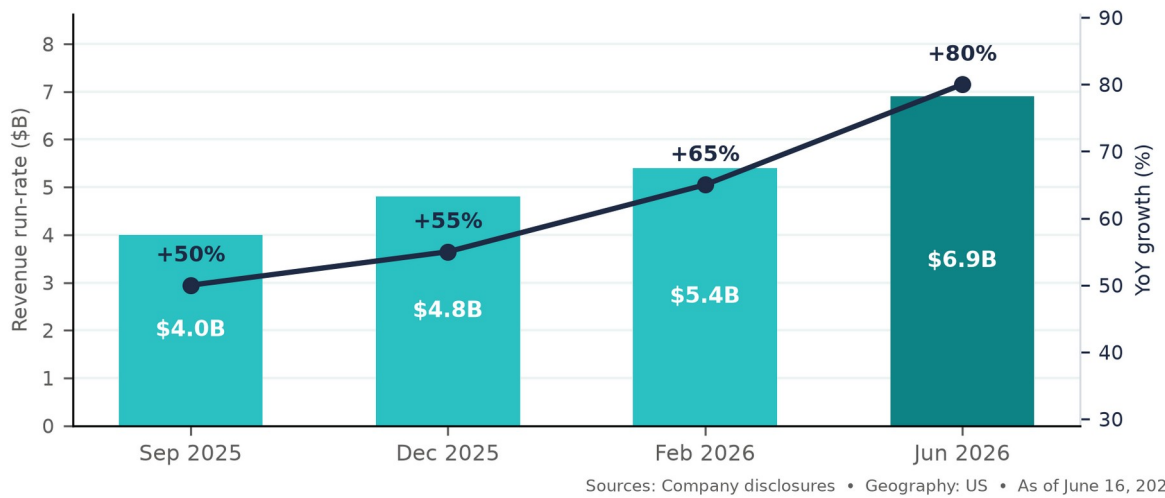
Nothing in the operating record moved with the announcement, and that is the point: the bid re-rates an engine that was already accelerating. The last print stands at \$6.9 billion of annualized revenue, up 80% year over year, the fourth straight disclosure to accelerate.⁷ The ladder reads \$4.0 billion, \$4.8 billion, \$5.4 billion, \$6.9 billion in ten months. Software companies at this scale are supposed to slow down. This one sped up.

The counterweight is gross margin, and it is the number to watch. Margin stands at 74%, down from above 80%, and management guides it lower because agents fire queries at machine speed and the compute bill lands in cost of revenue.⁷ The floor that matters is 70%: break it and the quality score gets rebuilt, whatever the round does. The cushion is four points.

The rest of the record is firm but dated. Free cash flow was positive on trailing and fiscal 2025 bases at the February disclosure, retention ran above 140%, and the platform served more than 20,000 organizations; all of it is February vintage and past its refresh window.⁶ Headcount stands at 9,000.⁵ The September to October window is the scheduled refresh, and until it prints, the old numbers carry their dates.

Growth is accelerating at \$7 billion scale

Annualized revenue run-rate (\$B, bars) and YoY growth (%), line)



Annualized revenue run-rate (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new print since June 16.

Pricing the quality: both marks stay on the cohort floor

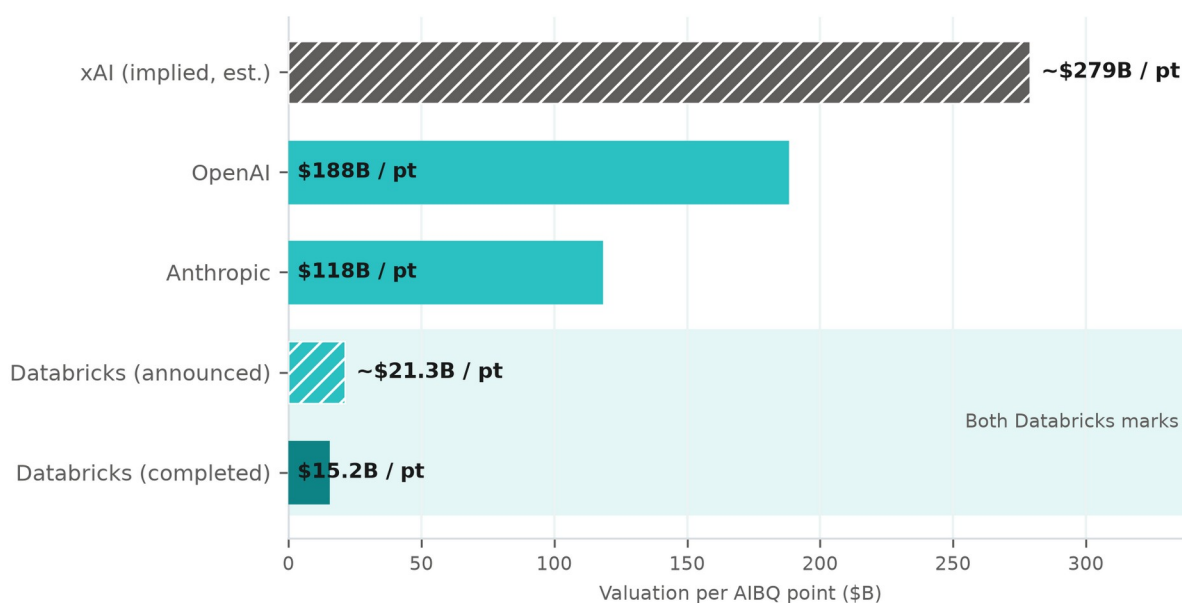
The bid re-prices the same June print, so the multiple math is clean: 19.4x run-rate at \$134 billion, 27.2x at \$188 billion. Growth adjustment keeps both defensible. At 27.2x against 80% growth, a point of growth costs 0.34x; the closest listed comparable trades at 15.3x its guided 31%, or 0.49x per point.⁹ The buyer at the higher private price still pays less per unit of growth than the public market pays for the slower asset.

The quality math holds as well. On the desk's framework the completed mark prices business quality at \$15.2 billion per point, and the announced bid prices it near \$21.3 billion (est.). The nearest peer pays about \$118 billion, the top of the cohort near \$188 billion, and the listed parent's implied AI segment about \$279 billion (est.). At either mark Databricks is the cohort floor by more than 5x, and that spread, not the round, is the durable fact.

Two dates decide the next quarter. First, the close: the company says later this summer, and we assess completion by October 31 as very likely (80-95%). Confidence: moderate; the size and terms are press-sourced and the company has not disclosed them.³ Second, the print: September to October, testing the run-rate against \$6.9 billion, the margin against 70%, and the February metrics against fresh ones. The kill criterion is written. A gross-margin print below 70% by the October disclosure forces a quality re-score, round or no round. The registry stays quiet; no S-1 was on file at the last check.⁸

The buyer pays the least per unit of quality, at either mark

Valuation per AIBQ point (\$B)



Sources: PitchBook, company disclosures, PitchBook analysis • Geography: US • As of August 10, 2026

Valuation per AIBQ point, August 10, 2026. Databricks shown at completed and announced marks; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

Estimative language

Forward-looking judgments in this note use the desk lexicon below. Numbers in parentheses give the assessed probability range. Confidence is stated separately and describes the evidence base, not the event. 'Possible' is never modified; one odds-bearing word per sentence.

Probability bands

Term	Range
Almost no chance / remote	1-5%
Very unlikely / highly improbable	5-20%
Unlikely / improbable	20-45%
Roughly even chance	45-55%
Likely / probable	55-80%
Very likely / highly probable	80-95%
Almost certain / nearly certain	95-99%

Desk adoption of the ICD 203 estimative standard; judgments are logged with dates and resolution criteria for calibration.

References

1. Databricks signs term sheet at \$188B, Coatue lead (Reuters syndication), July 17, 2026.
<https://www.dealstreetasia.com/stories/coatue-led-funding-round-to-value-databricks-at-188b-489409/>

- 2.** Databricks hits \$188B valuation (TechCrunch), July 17, 2026.
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- 3.** Coatue-led \$3B investment at \$188B (WSJ, via Reuters/CNA), July 16-17, 2026.
<https://www.channelnewsasia.com/business/databricks-valued-188-billion-after-coatue-led-investment-wsj-reports-6259931>
- 4.** PitchBook News: Databricks' 40% valuation bump looks 'almost quaint' next to Anthropic, July 17, 2026. <https://my.pitchbook.com/news-center/pb208542455521588824>
- 5.** PitchBook company profile 59199-40 (last updated August 10, 2026) and financing note, August 7, 2026. <https://my.pitchbook.com/profile/59199-40/company/profile>
- 6.** Databricks company announcement: Series L final close and operating metrics, February 9, 2026.
- 7.** Databricks Data + AI Summit analyst-session disclosures (\$6.9B run-rate, +80% YoY, 74% gross margin), June 16, 2026.
- 8.** SEC EDGAR submissions API, CIK 0001587468 (no registration statement on file), verified July 10, 2026. <https://data.sec.gov/submissions/CIK0001587468.json>
- 9.** Snowflake 8-K, Q1 FY2027 results and FY2027 product revenue guidance (\$5.84B, +31%), May 27, 2026.